**Revision Date:**
February 1, 2025

**Background:**
An overpayment is any amount of any aid payment received by an Assistance Unit (AU) that they were not entitled to receive. An overpayment may be all, or a portion, of the payment. This includes payments issued for regular aid payment, Immediate Need, Homeless Assistance (HA), Aid Paid Pending (APP) for a state hearing, or Employment Services (ES).

**Purpose:**
The purpose of this section is to provide overpayment recovery requirements. This material revision is for Sunset Date review. No policy or procedure changes have been made.

**Policy:**
Amount That Can Be Recovered
Refer to CalWORKs Program Guide (CPG) 44-350.A for the amount that can be recovered.

State Income Tax Refund Intercept Program
State tax returns are intercepted, diverted to the California Department of Social Services (CDSS), and applied as payments against outstanding overpayments. Customers with questions regarding the Tax Refund Intercept Program are to be referred to the Office Revenue and Recovery (ORR).

Multiple Overpayments
When a case contains multiple overpayments, the oldest fraudulent overpayment is adjusted first. Once the overpayment is fully recouped, the next oldest fraudulent overpayment is adjusted. When there are no fraudulent overpayments, the oldest non-fraudulent overpayment is adjusted first. When a non-fraudulent overpayment is being recouped, and a fraudulent overpayment occurs, recoupment of the non-fraudulent overpayment must be ceased, and collection of the new fraudulent overpayment must be started.

**Notes:**
- When a new overpayment occurs another Notice of Action (NOA) must be completed and mailed to the liable individual(s).
- All overpayments must be collected prior to collecting any ES supportive services overpayments. Refer to CPG 44-350.L for more information.

Priority of Recovery
Overpayments are to be recovered in the following priority:
- Aided Caretaker Relative (Liable Individual) - When the caretaker relative (the liable individual) was a member of the AU at the time of the overpayment, the county will first seek recoupment from the liable individual. The county will:
  - Continue to seek overpayment recovery from the liable individuals even when they move to another AU, or are no longer on aid.
  - Initiate recovery of the overpayment from the other members of the overpaid AU, after all efforts to collect from the liable individual have been exhausted, and when the liable individual:

- Dies and the county cannot collect the entire unpaid balance of the overpayment from the liable individual's estate.
- Is unlocatable.
  **Note:** After review and interview with the liable individual and the overpayment has been referred to ORR for collection, staff can contact ORR to determine if the person is unlocatable).
- Has the overpayment discharged in bankruptcy.
- Is no longer on aid; the overpayment is less than $250 and there are other members of the overpaid AU who remain on aid.
- Is no longer on aid, and the county has determined that it is not cost effective to collect the overpayment from the caretaker relative.

- Unaided Caretaker Relative - When the caretaker relative was not a member of the AU at the time of the overpayment, the county will seek recovery from the other members of the overpaid AU.
- Recovery from AU Members - There will be no priority order in seeking collection of the overpayment from members of the overpaid AU who were not the caretaker relative.

Collection may occur in sequence against any one member at a time or concurrently from any of the members, when in separate AUs or when not receiving aid.

Child Only Cases

Overpayments cannot be collected from unaided adults if the adult was not aided at the time the overpayment was established. This includes adults who are excluded from the AU because they are a sanctioned individual, fleeing felon, undocumented non-citizen, or non-needy caretaker relative.

However, recoupment on overpayments from active child-only cases can occur via grant adjustment while the case is active. Once the case is discontinued, recoupment from the (previously) unaided adult or the child cannot occur.

Minors In Overpaid Assistance Units (Hartley v. Lightbourne)

Effective January 6, 2012 the county will not collect overpayments from adults, emancipated minors, or head of households, who were minors in an overpaid AU at the time the overpayment was incurred, by *any means*, including, but not limited to:

- Grant adjustment.
- Tax intercept.
- Administrative or civil action.
- Voluntary repayment agreement.

Also, the county will no longer recoup overpayments from any minor who becomes a member of a new AU if the overpayment occurred while the minor was a member of the previous AU. In other words, if a child in an overpaid AU moves to a different AU, and the responsible relative in the first (overpaid) AU cannot be located, the overpayment will not follow the child to the new AU, and the county may not grant adjust or otherwise recoup the overpayment (that occurred in a previous AU) from that new AU.

The county will also ensure that, in accordance with these instructions, a minor will not be listed as a responsible party for the overpayment that occurred when they were a minor in an AU, regardless of whether the minor enters a new AU, becomes an aided adult, or remains unaided.

Grant Adjustments and Amounts Collected in Error after January 6, 2012:
The county is required to refund the AU as underpayments any grant adjustments deducted from grants on or after February 1, 2012 in order to collect overpayments from this population. In addition, the county is required to send NOA message M44-340C (underpayment adjustment) to the AU.

If the county recouped an overpayment from a member of this population via any other method (for example, voluntary cash repayment, tax intercept, etc.) after January 6, 2012, the county is required to provide the individual and/or AU a refund of the repaid amount. For non-grant adjustment methods of collection, the county will refund those amounts to the individual, as soon as possible, but no later than 90 days after the county identifies or is provided with information regarding the collection that is being stopped, and will issue an informing notice informing him or her of the amount of the refund.

NOAs:
- M44-350J – Notifies customers that an overpayment recoupment that was previously being collected from his or her AU will stop.
- M44-340C - Notifies customers of an underpayment of aid, for any months on or after February 2012 in which the AU's grant was reduced for an overpayment collection against one of the types of individuals.

Reminders:

Once a minor becomes an adult or minor head of household or is emancipated, that individual will be responsible for repayment of any overpayments that are established in their own separate AU in accordance with standard overpayment collection regulations.

Staff will continue collection of overpayments from the responsible relative in the original overpaid AU via all appropriate collection methods described in CPG 44-350.E Method Of Recovery.

Staff will first collect overpayments from the caretaker relative who was a member of the AU at the time the overpayment was established. Recoupment should be through grant adjustment if the AU is receiving CalWORKs cash aid and via post-aid recovery efforts if the AU is no longer aided.

Staff will also continue collecting overpayments via grant adjustment when the children who were in the overpaid AU are receiving aid in the same AU in which the overpayment was established.

Inter-County Transfers (ICT) With Overpayments
When an ICT is initiated, overpayments are subject to recoupment by the receiving county. The sending county must transmit the current repayment record and notify the receiving county to continue the overpayment adjustment upon expiration of the transfer period.

All the following overpayment information must be included in the ICT packet:

- Type of overpayment (that is, administrative, failure to report, etc.).
- Balance owing.
- Customer's liquid resources.
- Information regarding when and how the overpayment occurred.
- A copy of the informing NOA sent to the customer.

When the receiving county accepts responsibility for recouping the overpayment, any money recouped by the receiving county is retained by that county. The sending county will no longer be responsible for the collection of the overpayment and will remove the claim from the record. Staff will document the transfer of the overpayment to another county in the case comments.

The receiving county will be responsible for collection of the overpayment until either:
- The overpayment is fully repaid.
- The AU moves to another county and, pursuant to an intercounty transfer, that subsequent county assumes responsibility for collection of the overpayment.
- Payment of aid is discontinued, at which time the receiving county is responsible for recouping the balance of the overpayment through appropriate collection procedures.

<u>Bankruptcy Proceedings</u>
Dischargeable Overpayments:
Overpayments which are not the result of misrepresentation or fraud can be discharged through bankruptcy proceedings. Willful failure to report or fraud overpayments are not dischargeable under bankruptcy law.

Pending Bankruptcy Proceedings:
When a customer reports that they have filed for bankruptcy and have requested discharge of an outstanding overpayment, Family Resource Center (FRC) management will notify Self-Sufficiency Services (SSS), CalWORKs Program Manager. Information provided must include:
- The case name and number.
- The original amount of the overpayment(s) and the outstanding balance(s).
- The date the overpayment(s) was/were discovered.
- The period of the overpayment(s).
- Information regarding the parties, if any, responsible for the overpayment.
- Any information provided by the customer regarding the pending bankruptcy proceedings.

The CalWORKs Program Manager will refer the information, as appropriate, to County Counsel. Grant reduction is to be continued pending the outcome of the court proceedings.

Overpayments Discharged by Bankruptcy:
When a customer reports that their overpayment has been discharged by bankruptcy proceedings, staff will request verification. Acceptable evidence of a discharged overpayment would be a copy of the "Order Granting Discharge" issued by the bankruptcy court. Interim orders may also be issued by the court which can require a suspension of collection efforts, including grant adjustment and/or balancing against underpayment.

When a customer verifies that an overpayment has been discharged, staff will discontinue collection efforts accordingly.

Specific case questions that arise are to be directed to CalWORKs Program Manager for referral to County Counsel.

Dissolution of Marriage

A Dissolution of Marriage decree may identify the responsible party of the overpayment. The terms of the dissolution may be honored if these terms were made between ORR and the court. Staff must contact ORR, through the FRC liaison, and confirm the arrangements. Examples of these arrangements include:

- The debt is determined to be a community debt, and each party is ordered to pay half of the debt.
- It is determined that the debt belongs to one party and that party has been ordered to pay.

Documentation of the arrangement is required and is to be imaged together with the overpayment documentation.

Informing NOAs

Should immediate recoupment not be possible once an overpayment has been identified and computed (that is, another overpayment is currently being collected through grant reduction), staff must send the customer the appropriate NOA informing the customer of the overpayment at the time the overpayment is computed.

Court Ordered Restitution

Grant adjustment normally is not affected by court ordered restitution. However, an overpayment cannot be collected through grant adjustment when the court order:

- Specifically precludes grant adjustment.
- Substitutes another activity (community service) for cash restitution.
- Dismisses the overpayment.

If a court order sets a total restitution amount lower than the overpayment amount determined by staff or Quality & Eligibility Support Department (QESD) and grant adjustment is not ruled out by one or more of the above cited reasons, the overpayment amount previously determined by staff or QESD will be recouped (See Example 1).

Example 1 - Staff/QESD determines an overpayment of $2,000. The court order sets restitution at $1,500. Staff will recoup $2,000 by grant adjustment. If the case closes before the $2,000 is fully recouped, staff will refer the remainder to ORR for collection.

If a court order does not rule out collection by grant adjustment and additionally orders a customer to pay an amount of restitution directly to ORR, staff will recoup by grant adjustment at the same time (See Example 2).

Example 2 - Staff/QESD determines that the customer has been overpaid $1,000. The customer is court-ordered to pay $25 restitution monthly to ORR. Staff/QESD determines the monthly adjustment

amount and recoups by grant reduction during the same period that ORR collects on its court-ordered account.

The determination that the overpayment amount is not revised by the court order can, however, be overturned in a fair hearing.

**Procedure:**
None.

**Impacts:**
None.

**References:**
Eligibility and Assistance Standards (EAS) 40-190.5, 44-351, 44-352.
All County Letter (ACL) No. 19-102.

**Sunset Date:**
This policy will be reviewed for continuance by February 28, 2028.

**Approval for Release:**

2-14-25

Rick Wanne, Director
Self-Sufficiency Services